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Subject Code: BBA203

Roll No:

BBA

(SEM. II) THEORY EXAMINATION 2025-26

MANAGEMENT ACCOUNTING

TIME: 3 HRS

M.MARKS: 70

Note: 1. Attempt all Sections. If require any missing data; then choose suitably.**SECTION A****1. Attempt all questions in brief.****2x7 = 14**

Q.N.	Question	CO	Level
(a)	Define Management Accounting.		K1
(b)	Distinguish between fixed cost and variable cost.		K1
(c)	A company has a break-even sale of ₹50,000. The actual sales are ₹80,000. Calculate the Margin of Safety.		K2
(d)	What is debt-equity ratio?		K2
(e)	Define fund flow statement?		K1
(f)	What is budgeting?		K2
(g)	What is contribution?		K1

SECTION B**2. Attempt any three of the following:****7 x 3 = 21**

(a)	Describe the importance of management accounting in modern business organizations.		K2
(b)	What is Break-Even Analysis? Illustrate with a diagram and explain its significance.		K2
(c)	What is a budget? Explain the objectives and advantages of budgetary control.		K3
(d)	From the following information, prepare the Balance Sheet of a company: Current Ratio = 2: 1 Quick Ratio = 1.5: 1 Working Capital = ₹90,000 Inventory = ₹45,000 Fixed Assets = ₹2,10,000		K4
(e)	Explain the step by step process of preparing a Fund Flow Statement with a numerical example.		K4

SECTION C**3. Attempt any one part of the following:****7 x 1 = 7**

(a)	What are the tools and techniques used in Management Accounting?		K2
(b)	Differentiate between management accounting and financial accounting?		K3

P.T.O.

4. Attempt any one part of the following:

7 x 1 = 7

(a)	A company is currently manufacturing a component internally. The cost per unit is as follows: Direct Material = ₹40 Direct Labour = ₹30 Variable Overheads = ₹20 Allocated Fixed Overheads = ₹10 An outside supplier has offered to supply the component at ₹85 per unit. Required: (i) Should the company make or buy the component? (ii) What will be your decision if the fixed overheads are unavoidable?		K4
(b)	What is financial statement analysis? Explain its importance.		K3

5. Attempt any one part of the following:

7 x 1 = 7

(a)	Explain the concept of variance analysis. How are material and labor variances calculated and classified?		K3
(b)	Explain the concept of Marginal Costing and its advantages and limitations.		K2

6. Attempt any one part of the following:

7 x 1 = 7

(a)	What is responsibility accounting? Explain the various types of responsibility centers.		K3
(b)	Explain the concepts of vertical analysis and horizontal analysis and illustrate with examples.		K4

7. Attempt any one part of the following:

7 x 1 = 7

(a)	Explain various financial forecasting tools used in business decision-making.		K3
(b)	From the following information, calculate Net Cash Flow from Operating Activities using the Indirect Method Net Profit: ₹1,50,000 Depreciation: ₹25,000 Loss on sale of machinery: ₹8,000 Increase in Debtors: ₹12,000 Decrease in Creditors: ₹10,000 Prepaid Expenses increased: ₹5,000 Outstanding Expenses increased: ₹7,000 Provision for Tax: ₹18,000		K4